

BEFORE
THE FEDERAL MARITIME COMMISSION

DOCKET NO. 23-01

SAMSUNG ELECTRONICS AMERICA, INC.
Complainant

VS.

SM LINE CORPORATION
Respondent

**ERRATA SHEET TO RESPONDENT'S REPLY
TO COMPLAINANT'S PROPOSED FINDINGS OF FACT**

Respondent SM Line Corporation ("SM Line"), by and through its undersigned counsel, respectfully submits this Errata to include the citations to SM Line's appendix that were unintentionally omitted in SM Line's Reply to Complainant's Proposed Findings of Fact, filed and served in this proceeding on May 15, 2024. Inclusion of the Errata will avoid unnecessary confusion over the body of the pleading and appendix cross-references with same.

- Page 2, paragraph 2 – SM Line further refers to paragraphs 10 through 11 and 14 through 18 of its Answer which set forth its responses to the allegations made in the corresponding paragraphs of the Complaint. **CX_0002021**
- Page 5, paragraph 8 – **SEA_SMLINE_0066149**, RX_0003731, Rapske Dep. Ex. 1., **SEA_SMLINE_0009658**, RX_0003593, Rapske Dep. Ex. 2., **SEA_SMLINE_0066149**, **RX_0003642**, Rapske Dep. Ex. 3.
- Page 11, paragraph 19 – "... South dock 240 Dividends Drive, Coppell, TX 75019." SM Line_0163856, **RX_0004489**; SM Line_0163861, **RX_0004494**

2021 Service Contracts with Samsung Logitech Co., Ltd. ("Logitech"), **RX_0004506**, **RX_0004511**; 2022 Service Contract with Logitech, **RX_0004523**, **RX_0004530**; and 2020

Samsung SDS Global SCL Asia Pacific Pte Ltd. (SDS), **RX_0004523**; 2021 Service Contract with SDS, **RX_0004546**; 2022 Service Contract with SDS, **RX_0004567**.

- Page 14, paragraph 21 – **RX_0004483-84**, SM Line Tariff Rule SMLine_700
- Page 16, paragraph 21 – At times, this kind of email instruction was sent from SEA to the CNT without SM Line being in copy. **RX_0003708 - 3711**.
- Page 17, paragraph 23 – **CX_002643-44**; **CX_002650**, Rapske Dep. Tr. 31:11-32:12; 38:11-18; **CX_002378**; **CX_002382-83**, SEA 143(b)(6) Dep. Tr. 131:9-23; 135:12-136:3; **CX_004333-34**, McCown Report ¶20.
- Page 18, paragraph 23 – The contract freight rate includes all incidental expenses (excluding detention/demurrage excess expenses).” **RX_0002949**.

SEA communicated through SDS and Logitech and SEA closely participated in the service contract with SM Line through SDS and/or Logitech. **RX_0002925 - 26** (English translation doc to be used); **RX_0002931 - 32** (English translation doc to be used); **RX_0002935 - 41** **SM Line_0156482** (English translation doc to be used).

- Page 21, paragraph 28 – “The contract freight rate includes all incidental expenses (excluding diversion/detention/demurrage)” **RX_0002949**, 2020 version of the contract guideline, p.4.

Almost identical languages exist in 2021 and 2022 contract guides as well. **RX_0002973**, 2021 contract guide; and **RX_0002994**, 2022 contract guide.

- Page 22, paragraph 28 – Please note that if there is a rate increase from CNT during the agreement period (January 1 - December 31, 2022), the increase amount will be borne by the shipper.” **RX_0002888**.
- Page 23, paragraph 30 – **CX_004732**, Ex. 8 at 5 Section 4.1.12 (p. 5 as noted on the document but p. 6 of 15).
- Page 23, paragraph 30 – And “the Carrier’s governing tariff” is very clear. **RX_0004483 - 84**.
- Page 25, paragraph 31 – **RX_0000933**, Kim Huynh Tr. 84:3-84:16.
- Page 27, paragraph 34, ... *I was moved to a different task as a coordinator, which is dispatching the truckers, and then coordinate with the carrier, steamship line, to work with the movement for Samsung.* **RX_0000865 – 866**, Kim Huynh Tr. 16:22-17:4
- Page 27, paragraph 35 ... (i.e., CNT must obtain approval from SEA for bobtail move). **RX_0004125 - 29**.

- Page 27, paragraph 35 – SEA’s delivery instructions to its CNTs emphasized that the CNT’s KPI (key performance indicators) would be scored based upon the CNTs compliance with these instructions. **RX_0004129.**
- Page 29, paragraph 38 – SEA’s own “Direct Ship Operation” Manual and practices of instructing CNT supports that SEA was responsible for inland transportation performed by its CNT. **RX_0001195, 1199.**
- Page 29, paragraph 39 ... “I was brought on August 1st, 2022, and that was when we had started the CY shipments, right?” **CX_002539 - 40, J. Choi Dep. Tr. 39:25 – 40:3.**
- Page 30, paragraph 39 – Accordingly, please note that circumstances are not allowing our company to (unable to) complete the House Trucker Set-up on behalf of CNT and that we are considering participation in only the CY/CY transport segment when making a bid for ‘22.” **RX_0002902.**
- Page 30, paragraph 40 – (“If it was a CY term, then the shipping liner is only responsible up to the point that it gets to the CY, and then from the CY and after, that would have to be SDSA or SEA’s responsibility.”). **CX_002368, SEA 143(b)(6) Tr. 121:6-10; CX_000410**
- Page 33, paragraph 46 – As you may be aware, Lowes is receiving delivery only through a carrier approved by Lowes, and we are working with a carrier designated by us, or CNT, rather than a house trucker.” **RX_0002936, SM Line_0156184** (English translation document).

As another example, SM Line cannot issue Work Order unless Samsung customer provide the CNT information to SM Line. **RX_0002932.**

- Page 33, paragraph 47 – I don’t see CNT is setup, please advise your rate so I can get it setup and issue work order.” **CX_004805 and CX_004811.**
- Page 36, paragraph 48 – SEA did not simply suggest or recommend. It required a CNT. **RX_0002925-26** (English translation document).
- Page 36-37, paragraph 49 – These basic qualifications have been duly discussed by deposition witness Christopher Solarez. **CX_001193 – 94, Solarez Dep. Tr. 124:14-125:23 and 126:5-11, and CX_001195 – 96, 126:22-127:5;**
- Page 37, paragraph 49 – *see also* **RX_0003717** (“In the meantime Gold Point is the CNT and we want to have WOs go to them.

As stated in our response in PFF no. 46, reference **RX_0002925-26** (English translation document) SEA required that its CNT provide the service.

- Page 37, paragraph 50 – ... SEA (albeit communicated at times through SDS or Logitech and sometimes directly to SM Line). **RX_0003729 - 22 and RX_0004174-75.**

- Page 38, paragraph 52 – We [SDS] will be discussing with SEA about this matter.”). **RX_0002926** (English translation document).
- Page 40, paragraph 55 – SDS forwarded this email to SEA on the same day. **RX_0002931 - 32**
- Page 40, paragraph 56 – Denied as stated as the CNT rates can be higher but also lower than the rates of House Truckers. **RX_0004274** (excel document).

Currently, Gold Point is in charge of Lowes Moreno Valley.” **RX_0002936** (English translation).

- Page 41, paragraph 58 – Repeats and incorporates our responses to PFF nos., 21, 31, 35, and 49 herein. *See also* **RX_0003721-22 and RX_0004174-75.**
- Page 44, paragraph 62 – ... SEA maintained the control of CNTs with constant and detailed delivery instructions. **RX_0003705-3711; RX_0003645.**
- Page 45, paragraph 64 – Please also see the following emails to see that SM Line cannot issue work order without the Delivery Order that is provided by SEA. **RX_0004205; RX_0004479, and RX0002275,**
- Page 47, paragraph 70 – Also, we note that PB Industries and Gold Point Transportation were unfailingly the top two biggest truckers for SEA (in volume) between 2018 and 2021. **RX_0004591** (excel document).
- Page 48, paragraph 71 – As far as SM Line’s accounting records are concerned, Gold Point paid a great majority of the Demurrage charges to SM Line, and PB Industries and Gold Point, combined, paid the great majority of the Detention charges. **RX_0004697** (excel document), (“DMIF-DTIC Summary”).
- Page 49, paragraph 72 – ... so that we can export the products as quickly as possible.” **RX_0002917 – 23, SM Line_0166860** (English translation version).
- Page 50, paragraph 72 – Accordingly, please refer to the list below, check the removal (pick-up) schedule and reply to us.” **RX_0002894 - 95, SM Line_0156606** (English translation version).
- Page 51, paragraph 78 – ... its own “Direct Ship Operation” Manual and service contract process expressly and uniformly confirms that SEA would be responsible for demurrage charges. **RX_0001199.**
- Page 52, paragraph 79 – TTI agreed to extend the LFD and assisted with the appointment issue (i.e. waived appointment). **RX_0001602 – 10; RX_0001461; RX_0001440; RX_0001458; RX_0001539; RX_0003565 - 66**

- Page 53, paragraph 79 – A. If the trucker had an issue getting an appointment at the warehouse, if they had an appointment issue at terminal, whatever -- whatever the trucker needed, we extended that courtesy. We always were there to help. **CX_001350**, Askins Tr. 55:9-17
- Page 53, paragraph 80 – SM Line paid those charges and sought reimbursement from SEA to which SEA paid with thanks. **RX_0004643 - 46.**

Please help and guarantee the charges so demurrage does not keep stacking.” (emphasis added) **RX_0004463.**

SM Line did SEA a favor by guaranteeing hundreds if not thousands of SEA containers. **RX_0004463 – 64.**

- Page 54, paragraph 80 -- but they didn’t pay as promised, but, eventually, they paid after five months later.” **CX_000937 – 38**, Sarah Lee Tr. 73:21-74:1.
- Page 56, paragraph 89 – Admit to the accuracy of the quote, deny as to the characterization of the cited manual because the premise and the content of the “manual” is about rates of CNTs. **CX_005575, CX_005578 - 79.**
- Page 56, paragraph 90 – We repeat and incorporates our responses in PFF 232 herein. Nothing in **CX_005575, CX_005578 – 79 ...**
- Page 56, paragraph 90 – Nothing in **CX_005575, CX_005578 – 79** supports the that this “form” titled REQUEST TO USE A CUSTOMER NOMINATED TRUCKER Agreement is not effective during the Relevant Time Period.
- Page 57, paragraph 90 – ...actually created an expectation of the legal terms and condition between the parties when a shipper or owner of the cargo uses CNT. **CX_005575, CX_005578 - 79.**

Also, the nearly identical (if anything more broadly construed) terms exist in SM Line tariff rule. **RX_004483 – 84**, (“Tariff Rule Code SMLM-700/ Rule Name: CUSTOMER NOMINATED TRUCKER FOR STORE DOOR DELIVERY”); which is a provision that has been incorporated into a service contract. **RX_0004495.**

The applicable service contract number is clearly referenced/named on the front of the Bill of Lading SEA’s Expert Report Ex. 4 (SM Line Bill of Lading front page) **RX_0004263**, SM Line_0097029.

“This Waybill, which is not a document of title to the Goods, is subject to the terms and conditions, liberties, and exceptions of the Carrier’s standard bill of lading and tariff, copies of which may be obtained from the Carrier’s office and those of his authorized agents, and to the provisions set out below.” **RX_0002301-02, SM Line_0184142 – 23**, SEA’s Expert Report Ex. 5 p. 1. (“Seaway Bill Terms and Conditions.”)

- Page 60, paragraph 97 – For SM Line’s excel document, only delivery information was mentioned. **RX_0003702** (excel document). **RX_0000928**, Kim Huynh Tr. 79:8-13.
- Page 62, paragraph 101 – It is understood that Gold Point negotiated with the shipper, but was unable to receive a clear response, and ultimately notified them of refusal of transportation.” **RX_0002899** (English translated version).
- Page 63, paragraph 104 – As an example, upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. **RX_0001667 – 1674**.

Many case exists for the terminal to extend the LFD and exempt the appointment as well. **RX_0001440; RX_0001961; RX_0001458; RX_0001461 - 62; RX_0003565; RX_0004619**.

- Page 64, paragraph 104 – As containers get delivered this will create open space to prepull new loads which we are working on daily.” (emphasis added). **RX_0001759 - 1831**.

And Gold Point confirms that “the customer will approved the Free Flow.” **RX_0003549 - 3561**.

- Page 66, paragraph 108 – In the event of any increase or decrease in these costs to Contractor and in consideration of indirect expenses, the rates specified herein shall be correspondingly adjusted effective as of the date of such changes.” **RX_0004597**.

Otherwise, Contractor will remit the difference to SM LINE.” **RX_0004607**.

The foregoing rule is not applicable to the extent that it is superseded or modified by a price document or contract between UPRR and a particular shipper.”). **RX_0004282**.

- Page 68, paragraph 114 – A. It depends on the case. You know, it’s case by case. **CS_002082**, Tianjin Li Tr. 116:22-25.

A. I wouldn’t know what -- the FMC’s specific position on that. However, pursuant to the newly revised rules, if the container is not available per the rules, then we at SM Line do not charge for those containers. **CX_000474 – 75**, K.K. Choi Tr. 121:18-122:4.

- Page 69, paragraph 116 – A. If the port is congested, then the demurrage is waived. **CX_001706 – 07**, Gaston Tr. 53:23-54:1

A. Just respond to them by the case by case basis that we would go in and review and contact the terminal to see if there are appointments still available or not. So it all depends, case by case basis. **CX_001601 – 02**, Chian Ma Tr. **91:19 – 92:3**.

A. Normally, when there's a dispute, the dispute will indicate the reason, and then the -- I will just do research based on their reason and validate it and then it gets waived. **CX_001781**, Gaston Tr. 128:17-24.

- Page 70, paragraph 117 – TTI agreed to extend the LFD and assisted with the appointment issue (i.e. waived appointment). **RX_0001602 – 10; RX_0001461; RX_0001458; RX_0001539; and RX_0003565 – 66**, (in all cases LFD was extended because container(s) was/were not accessible, and appointment were exempted when needed).

Again, upon hearing from SEA's CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. **RX_0001667 – 1674**.

Many case exists for the terminal to extend the LFD and exempt the appointment as well. **RX_0004452; RX_0004619..**

- Page 72, paragraph 122 – The Askins deposition testimony also mentions that whenever a customer seeks help for additional return space, SM Line would contact the terminal so that the customer finds room to return the container. **CX_001350**, Askins Tr. 55:9-17
- Page 72, paragraph 124 – “[SM Line] would ask our team, the operation team's help to verify the invoice and interface the invoice for them to process the payment”. **CX_002073 – 74**, Tianjin Li Tr. 107:25-108:8
- Page 72, paragraph 125 – “[SM Line] would ask our team, the operation team's help to verify the invoice and interface the invoice for them to process the payment”. **CX_002073 – 74**, **Tianjin Li Tr. 107:25-108:8**
- Page 73, paragraph 126 – And if it exceeds \$3,000 per container, then it is to be reported up to the CEO and has to get his approval. **CX_000603 – 04**, Hyun-Yon Jung Tr. 37:25-38:14
- Page 77, paragraph 140 – SM Line made itself available to assist whenever it was notified of chassis issues. **CX_001209**, Solarez Tr. **140:9 - 25**.

That was the responsibility of the trucker to do so.” **CX_001438**, Askins Tr. 143:5-16.

- Page 78, paragraph 140 – As containers get delivered this will create open space to prepull new loads which we are working on daily.” **RX_0001759 - 1831**.
- Page 80, paragraph 144 – Rail storage charges are independently assessed and collected by the rail terminal in their sole discretion. **CX_000493 – 94**, K.K. Choi Tr. 140:22-141:15

(“The railroad company, the rail company does collect those storage charges directly, and it is governed by the governing role of the rail company, and it's the rail company's decision.”). **CX_001145**, Solarez Tr. **76:10 – 11**

- Page 81, paragraph 146 – Upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. **RX_0001667 – 1674.**

As containers get delivered this will create open space to prepull new loads which we are working on daily.” (emphasis added) **RX_0001759 - 1831.**

- Page 82, paragraph 147 – If they stay longer then we are telling truckers they need to take care of anymore storage.” **RX_0001832 - 84.**
- Page 82, paragraph 148 – Also, upon hearing from SEA’s CNT about container availability issue, SM Line contacted UPRR and asked and obtained the waiver of storage charges. **RX_0001667 – 1674.**
- Page 84, paragraph 151 – In some cases, CNTs were under a false assumption of chassis issues. SEA has not reached out to SM Line for help. **RX_0001680.**
- Page 85, paragraph 156 – The cited transcript is insufficient to support this PFF. **RX_0001832 – 24.**
- Page 86, paragraph 159 – A. Yes. And with a CNT, most often, SM Line was not even notified that they weren’t able to get a chassis. I do recall that.” **CX_001379, Askins Tr. 84:9-24.**

There are many containers that were mounted on chassis in rail storage facility and SEA/CNT did not pick them up – contributing to the chassis shortage issue that is complaining about. **RX_0001759 – 1831; RX_0001128-1158, CX_001438, Askins Tr. 143:5-16**

- Page 87, paragraph 159 – It bears noting that SEA contributed to the chassis shortage issue by holding on to chassis well beyond the free time. **CX_004313-14 and CX_004317,**

In addition, if rail terminals were experiencing a chassis shortage, return of chassis and empty containers would have been a priority.” **CX_004313-14.**

By 2022, SEA’s average days had more than tripled from 6 to 19 days and were nearly five times the average of other SM Line customers.” **CX_004317**

- Page 88, paragraph 160 – ... but admits that SM Line encouraged truckers not use their own chassis because a private chassis actually caused more complications and costs to the shipper. **CX_001212 – 13, Solarez Tr. 143:9-144:3; CX_001376 – 77, Askins Tr. 81:24-82:17.**
- Page 88, paragraph 161 – Repeats and incorporates our response to PFF nos. 79, 103, 139, and 159 herein. **CX_001376 – 77, Askins 81:24-82:12.**

- Page 89, paragraph 163 – Repeats and incorporates the response to PFF nos. 79, 103, 139 and 267 herein. **CX_001379, CX_001440**, Askins Tr. 84:9-24, 145:19-25; **CX_001189 – 90**, Solarez Tr. **120:17 – 25**.
- Page 90, paragraph 166 – ... SM Line also waived the charges that were related to appointment issues. LFD was extended and the appointment was exempted on numerous occasions. **RX_0001602 – 10; RX_0001461; RX_0001458; RX_0001539; and RX_0003565 – 66**

being affected by the stop clock date will receive the benefit, which implies millions of dollars of non-billed D&D charges, **RX_0004698** (excel)

in addition to the general Stop-clock, again implying millions of dollars of non-billed D&D charges, **RX_0004707** (excel)

3) SM Line further waived nearly \$2 million dollars (billed but waived/wrote-off D&D charges) specific to SEA, **RX_0004706** (excel) (“SEA waiver amount”) when warranted under the Shipping Act and OSRA.

- Page 92, paragraph 174 – Admit to the extent that the detention and demurrage management procedure manual does state this; however, denied in that SM Line handled the detention/demurrage issues through a module. **CX_000840 – 41**, Kwang Soo Oh Tr. P. 127:
- Page 93, paragraph 176 – A. For discounts, it depends on the amount. The field also has some authority for discounts. **CX_000602**, Hyun-Yong Jung Tr. 36:10-14.
- Page 94, paragraph 179 – And here, currently, as to the work method of the assessment method or collection method, which was done at the terminal, that work method is still ongoing or being maintained. **CX_000145 – 46, SM Line (K.K. Choi) 143(b)(6) Vol. I**, Tr. 117:20-118:4.
- Page 95, paragraph 179 – So I think that is what is meant by this.”) **CX_000303 – 04, SM Line (K.K. Choi) 143(b)(6) Vol. III**, Tr. 246:25-247:15
- Page 95, paragraph 180 – **So I think that is what is meant by this.”). CX_000303 – 04, K.K. Choi 143(b)(6) Vol. III** Tr. 246:25-247:15
- Page 96, paragraph 182 – The detention and demurrage waiver requests were managed and controlled by the detention and demurrage module. **CX_000840 – 41**, Kwang Soo Oh Tr. P. 127: 19- 128:6.
- Page 96, paragraph 183 – Denied as the cited testimony does not support the claims in this PFF. **CX_000285, KK Choi 143(b)(6) vol. 3 Tr. 228:10-18**.
- Page 98, paragraph 188 – A. If the port is congested, then the demurrage is waived. **CX_001706 – 07**, Gaston Tr. 53:23-54:1

A. Just respond to them by the case by case basis that we would go in and review and contact the terminal to see if there are appointments still available or not. So it all depends, case by case basis. **CX_001601 – 02, Chian Ma Tr. 91:19 – 92:3.**

A. Normally, when there's a dispute, the dispute will indicate the reason, and then the -- I will just do research based on their reason and validate it and then it gets waived. **CX_001781, Gaston Tr. 128:17-24.**

- Page 100, paragraph 192 – Denied as stated. **RX_0004707 (excel), SM Line** provided at least 584 days' worth of inactivation dates, most of them without the express request by customer.
- Page 101, paragraph 198 – Mr. Kim's testimony discusses how to alleviate and better manage general detention and demurrage issues in the U.S. *Id.* **CX_000673-76, S.H. Kim Dep. Tr. 20:5-23:6.**
- Page 102, paragraph 200 – He admitted that his report was essentially rejected by Mr. Lee. **CX_000676; CX_000682 – 83; CX_000691, Sung Hyun Lee Tr. 23:7-11; 29:17-30:11; 38:13-14.**
- Page 102, paragraph 201 – Mr. Kim's testimony is clear that it is intended to find a way to improve detention and demurrage issues in the U.S. **CX_000674, Sung Hyun Kim Dep. Tr. 21:5 – 15.**
- Page 103, paragraph 205 – To SM Line, the demurrage and detention represents a negligible amount – **RX_000-___, Ki-Yong Kim Tr. 22:7-22:23**

And SM Line's testimonies are consistent with this economic reality. **CX_000107 – 110, SM Line 143(b)(6) Vol.I, K.K. Choi Tr. 79:25-81:3**

CX_000677, CX_000688, Sung-Hyun Kim Tr. 24:16-23 and 35:10-23 ("the demurrage and detention is serving as a means to motivate the shippers to return the equipment as soon as possible or as quickly as possible.")

- Page 104, paragraph 208 – That is the first time Mr. Choi saw said document. **CX_000117, CX_000160, SM Line 143(b)(6) Vol.1 – Tr. 89:14-20 and 132:1-10.**
- Page 105, paragraph 209 – Admit to the extent that the D&D improvement plan increased the authority of the US office; denied as to the remaining claims in this PFF. **CXC_000303 – 04, SM Line 143(b)(6) Vol. III, K.K. Choi Tr. 246:25-247:15**
- Page 106, paragraph 212 – Admit to the extent that ALPS is the internal data management operation system, but denied as to the characterization of an automatic calculation of charges. **CX_001003 – 04, Sarah Lee Tr. 139:24-140:17**

CX_000779 – 80, Kwang soo Oh Tr. 66:19-67:1 (“So when it comes to the name ALPS, that is the name of the system, the total system, and, within the system, there are many modules.

- Page 107, paragraph 217 – Admit as stated to the extent the errors refer to errors in the ALPS system, with the exception of specialized errors which require the assistance of someone with more technical oversight and understanding. **CX_001895 – 96**, Yi Dep. Tr 77:23-78:25.
- Page 108, paragraph 223 – Denied, demurrage is generally collected by the terminal. **CX_001756**, Gaston Tr. 103:13-20; **CX_000754 - 55**, KwangSoo Oh Tr. 41:25-42:3; and **CX_000898 – 99**, Sarah Lee Tr. 34:22-25:7. And SM Line does not collect any demurrage charges at rail terminal. **CX_000156 – 57**, SM Line 143(b)(6) Vol. I – Tr.128:15-129:8.
- Page 109, paragraph 225 – And as responded in PFF no. 123 herein, SM Line’s operation team help to verify the invoice and interface the invoice for them to process the payment.” **CX_002073 – 74**, Tianjin Li Tr. 107:25-108:8
- Page 110, paragraph 228 – As an example, please see **RX_0004097** (dated July 2022), and **RX_0004099** (dated August 2022). Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en
- Page 111, paragraph 231 – Further denied as the claims in this PFF are not supported by the cited testimony. **CX_000285**, K.K. Choi 143(b)(6) Vol. 3 Tr. 228:8-25 (“So, in the ALPS demurrage and detention module, there is an inactivation function.”).
- Page 111, paragraph 233 – The cited testimony supports that the tariff would be applied if there is no service contract, but sometimes the tariffs were incorporated into the contracts. **RX_0004495**
- Page 113, paragraph 236 – A. No. It depends on the case. You know, it’s case by case. **CX_002082**, Tianjin Li Tr. 116:22-25.

However, pursuant to the newly revised rules, if the container is not available per the rules, then we at SM Line do not charge for those containers. **CX_000474 – 75**, K.K. Choi Tr. 121:18-122:4

- Page 113, paragraph 237 – Repeats and incorporates our responses to PFF no 227 herein. As an example, please see **RX_0004097** (dated July 2022), and **RX_0004099** (dated August 2022). Please also reference the website: https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.
- Page 115, paragraph 242 – SM Line, without requiring a dispute by a customer; SM Line provided discounts, provided stop clock and applied waivers without requiring a customer sending in a dispute. As an example, please see **RX_0004097** (dated July 2022), and **RX_0004099** (dated August 2022). Please also reference the website - https://esvc.smlines.com/smline/CUP_HOM_3704.do?sessLocale=en.

- Page 117, paragraph 250 – Admit that AR team was responsible for collecting D&D charges and admit that from the accounting perspective, D&D charges were considered revenue, but it is considered a miscellaneous revenue certainly not a main revenue. **RX_0004671** – (“Management Procedure of Accounts Receivable”)

- Page 118, paragraph 254 – SM Line made a specific exception for SEA and agreed to this guarantee. **RX_0004463 – 64,**

SM Line made a specific exception for SEA and agreed to this guarantee. **RX_0004448.**

- Page 119, paragraph 254 – That’s what our email is about, but we never froze anything.” **CX_001029, Sarah Lee Dep. Tr. 165:1-15.**

- Page 120, paragraph 256 – More importantly, there is no record of SM Line collecting any demurrage or detention charge in this case under the associated Work Order number PHX6894083. **RX_0004145.** This is Samsung International Inc.’s shipment, not SEA’s shipment. **RX_0004269.**

- Page 121, paragraph 260 – Admit that SEA’s blanket approval to pay demurrage, detention, and other charges given to CNT without any formal approval of SEA and helped mitigate SEA’s operational inefficiencies. **CX_002651,** Rapske Tr. 39:5-23 (“... we gave the approval for the team to approve paying detention and demurrage to get the product moving.”)

That is why we gave the CNT, which is Gold Point, a blanket to pay on our behalf, but it doesn’t mean that we are agreeing that we should be be paying on that one. We are we are desperate to move our loads and the deliver loads to our customers.” **CX_003080 – 81,** Fernando Tr. 151:22-152:8; **and RX_00000013.**

- Page 127, paragraph 273 – SEA/CNT made no attempt to pick up the container prior to LFD. **RX_0004149 – 59.**
- Page 129, paragraph 275 – Please do all that you can to out gate and if storage occurs please work with you customer to clear the storage direct with SSA.” (emphasis added) **RX_0004149 - 59.**

This container was eventually picked up on 7/12/2021. **RX_0004443.**

- Page 130, paragraph 277 – There are records of 1) SM Line stopping the clock (not billed D&D charges) over 523 days (during the 2020-2022 reparation period) at any given port or terminal (implementing the stop clock for every single containers (SEA or others) being affected by the stop clock date will receive the benefit, which implies millions of dollars of non-billed detention and demurrage charges, **RX_0004698** (excel) (“SML general stop clock days”);

2) during the same reparation period (2020-2022), SM Line provide additional 584 days worth of D&D “stop-clock” to SEA, in addition to the general Stop-clock, again implying millions of dollars of non-billed D&D charges, **RX_0004707** (excel) (“SEA stop clock days”); and 3) SM Line further waived nearly \$2 million dollars (billed but waived/wrote-off D&D charges) specific to SEA, **RX_0004706** (excel) (“SEA waiver amount”) when warranted under the Shipping Act and OSRA.

In these same two quarter, SM Line had D&D collectons of \$29.9M. **RX_0004704**.

- Page 131, paragraph 278 – The majority of the witnesses confirm their training on Shipping Act or OSRA: **CX_001690, Gaston Tr. 37:16-23** –

Q. Was there any training related to that rule?

A. Yes. **CX_000808 – 09, Kwangsoo Oh Tr. 95:23-96:5** –

Q. Were these trainings conducted at the same time?

A. [sic] Yes, the same time. **CX_000920, Sarah Lee Tr. 56:10-24** –

Q. Okay. Just breaking it down. In person, how frequent is that?

A. Once or twice in 2020. **CX_000454 – 55, K.K. Choi Tr. 101:7-102:3** –

Q. What was the nature of the training that was not in-person in 2020 and 2021?

A. Mostly e-mails relating to the relevant law revisions and industry articles. Those things were shared. Chian Ma Tr. **52:20 - 53:7** –

Q. Okay. Do you recall receiving a bulletin about the interpretive rule?

A. There’s was the [sic] emails that were sent with the links to the FMC, yes. **CX_001172 – 73, Christopher Solarez Tr. 103:14 – 104:7** –

Q. Okay. When was the training? Was this pre transition for you or –

A. It was pretransition. I was still doing detention at the time. **CX_001417, Andrea Askins 122:20-23** –

Q. Do you recall any specific training regarding OSRA?

A. I recall receiving emails talking to us about OSRA and forwarding, like, links and things like that so we could read about it. **CX_000637 – 38, Hyun Yong Jung 71:23-72:11** –

- Page 134, paragraph 280 – Admit that’s SEA’s detention and demurrage charges were lower in 2019 than in 2020-2022 but denies the characterization that the amount was negligible. **RX_0004608, SM Line_0178385**
- Page 135, paragraph 280 – SEA’s own document shows that SM Line carried about 4.5% of their ocean transportation contract. **RX_0003734, SEA_SMLINE_0068404, (Excel: Tab: “Sheet 2”)**.

Dated: May 20, 2024

Respectfully submitted,

/s/Wook Chung

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 20th day of May 2024, the foregoing document was served via electronic mail on:

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